



Date:- 11.04.2022

SANCTION MEMORANDUM

M/S.SAI ENTERPRISE**Proprietor:** Mr.MukeshbhaiNanjibhaiBhingradiya**Add:** PLOT NO.866, 2ND FLOOR, OLD GIDC,
KATARGAM, SURAT-395004.**SUB: YOU'RE APPLICATION FOR CREDIT FACILITIES**

We are pleased to inform you that you have been permitted sanction of **Term Loan Facility of Rs. 24.75 Lakh UNDER CLCSS SCHEME** subject to the terms and conditions stipulated herein below:

I. DETAILS OF SANCTION

Particulars	Terms & Conditions
Term Loan	Rs.24.75 Lakhs (Rupees Twenty Four Lacs Seventy Five Thousand only)
Cash Credit	NIL
Purpose	To Purchase Of New Computerized Embroidery Machine
Margin on chargeable assets	25.00%
ROI	RLLR+2.25%(Spread)+0.40%(Term Premium)-0.25%(CGTMSE Concession) i.e. 9.30% for Normal Risk Accounts
Security	As mentioned in Para II
Processing Fee & Pre payment penalty	1.25% of the Applicable charges plus GST CIBIL charges Rs.700/- plus GST Pre-payment penalty 2% if taken over by other banks/FIs.
Documentation Charge	Documentation Charge – 200/LAKH PLUS GST, MAXIMUM RS. 25000
Repayment	In 56 Equal Monthly Installments & after a moratorium period of 4 Months from the date of disbursement. Interest is to be served on monthly basis as and when due and collected separately.

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II. DETAILS OF SECURITIES:

(Rs. in Lakh)

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Security	Description	Charge	Value	Basis
Primary Security: A) Term Loan	Plant & Machinery	Hypothecation	Rs. 33.00 Lakh	Project Report
Collateral Security:	1. COVERED UNDER CGTMSE			

2. Personal Guarantee: NIL

3. Corporate Guarantee / Govt. Guarantee (Basis of Net worth /availability of guarantee cover to be given): Yes Under CGTMSE

III. TERMS AND CONDITIONS:

- 1) KYC norms are to be complied with.
- 2) Promoter's margin towards the proposed capital expenditure is to be brought up front and proof is to be submitted.
- 3) Subsidy if any, received under the scheme, will be kept as FDR, till the repayment of Term Loan
- 4) Term Loan will be disbursed directly in favour of the supplier of the machinery.
- 5) Required Insurance on stock and machineries are to be obtained with bank clause
- 6) Applicable Processing Charges, CIBIL Charges and CGTMSE Charges are to be realized upfront.
- 7) The stock Statement is to be sent regular.
- 8) Penal Provision is applicable for any non-compliance of Terms & Conditions.
- 9) Cost escalation shall be met by the promoters
- 10) The firm is to route through all the business transactions through the operative account our bank
- 11) All other General Terms and Conditions applicable to the term loan and WC as per annexure are to be complied with.

PRE-DISBURSEMENT CONDITIONS:

1. Undertaking letter shall be given not to divert the bank borrowings/Working Capital Funds to:

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- a. To undertake any new project/scheme of modernization unless such an expenditure on expansion is covered by Firm's net cash accruals after providing for Dividends, etc., Or for long term uses without NOC from the bank.
 - b. To invest by way of Share capital in or lend or advance funds to or Lakh deposits with any associates/allied/sister/any other concerns. Normal trade credit or security deposits in usual course of business or advances to employees are not covered under this covenant.
 - c. To enter into any borrowing arrangements either secured or unsecured with any other bank/ Financial Institutions/Firm.
2. The decision on merger, amalgamation, reconstruction take over, shifting of premises, shall be done only with prior permission of the bank. An undertaking to this effect should be given.
 3. An undertaking to be given in the Firm's letter and that the Firm will not give any corporate/financial guarantee without bank's permission.
 4. Copies of ITAO or statement of return/auditor's certificate regarding submission of up to date Tax returns of Firm shall be submitted.

POST DISBURSEMENT CONDITIONS:

1. All the assets mortgaged / hypothecated to the bank shall be insured for the full value against all required risks and hypothecation charge of the bank shall be got noted on the policy.
2. The interest rate is linked to RLLR Rate and the actual lending rate is subject to review and variation on account of any changes in the financials of the borrower, RBI & Banks guidelines as may be notified by Bank from time to time including in the Bank's Website.

IV. General Conditions:

All the conditions as per Annexure shall be complied with. Penal

interest be charged for the period of delay in respectof:

Renewal papers required for renewal of limits/Information required for review of account (MTR)	1%
Delayed / non submission of annual financial statements (2% on outstanding liability from 1 st Nov of respective year, till submission).	2%
Diversion of funds	2% over and above the ROI stipulated for that particular borrower should be charged on the amounts diverted from the date of such diversion till its replenishment
Delayed/ non submission of stock statements	2%, for the period of delay on full outstanding liability. Whenever stock/book debt statements are not submitted or submitted with delay, penal interest at 2% over and above the normal interest is to be charged. Penal interest is to be charged only for the period of stock statement gets delayed viz. ,from

	the due date for submission of stock statement till the receipt of stock Statement
Non-compliance of terms and conditions	1%

- The interest rate is linked to RLLR Rate and the actual lending rate is subject to review and variation on account of any changes in the financials of the borrower, RBI & Banks guidelines as may be notified by Bank from time to time including in the Bank's Website. No separate information will be sent for change in Base rate by our Bank
- The sanction does not vest in any one right to claim any damages against the Bank for any reasons whatsoever.
- The bank may revoke in part or in full or withdraw / stop financial assistance, at any stage, without any notice, or giving any reasons for any purpose whatsoever.
- The rate of interest and commission/service charges/upfront fee / inspection charges etc. are subject to change from time to time as per our H.O. / RBI guidelines for which separate notice will not be served.
- Inspection charge of the assets is to be borne by you as per bank's guidelines.
- Required loan documents are to be executed in the formats prescribed by the bank.
- Charge on current/ fixed asset should be created / modified within 30 days from the date of execution of the loan documents and extract of the register of charges should be produced to the bank within 45 days from the date of execution of loan documents.
- The rate of interest and other terms and conditions are subject to change / review from time to time as per the guidelines issued by the bank from time to time.
- Firm should pass on proportionate ancillary/export business to us. In case the party does not pass pro-rata FOREX/ ancillary business, additional interest shall be charged in consultation with sanctioning authority.
- Firm should not give any corporate/ financial guarantee without obtaining the permission of the Bank/Branch.
- In case of default in the repayment of the loan/advance or in the repayment of interest thereon or any of the agreed installment of the loan on due date(s), the bank and/ or Reserve Bank of India will have an unqualified right to disclose or publish the name of the borrower and its directors/ partners/ proprietor as defaulter in such manner and through such medium, as the bank or Reserve Bank of India in their absolute discretion may think fit.
- The Firm should agree as under:
 "I/We hereby agree as a pre-condition of the loan/advances given to me/us by the bank that in case I/We commit default in the repayment of the loan/advance or in the repayment of interest thereon or any of the agreed installment of the loan on due date(s), the bank and/or the Reserve Bank of India will have an unqualified right to disclose or publish my/our name or the name of our Firm/firm/unit and its directors/partners/ proprietors as defaulters in such manner and through such medium as the bank or Reserve Bank of India in their absolute discretion may think fit."

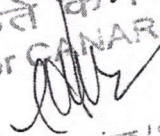
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- The Firm should also agree and give consent for the disclosure by the Bank's of all or any such :
 - a) Information and data relating to the Firm or its directors/partners.
 - b) The information or data relating to any credit facility availed of/to be availed, by the borrower or its director/partner or directors/partners; and
 - c) Default, if any, committed by the Borrower or its director or directors/partners in discharge of its/their such obligation, as the Bank/s may deem appropriate and necessary, to disclose and furnish to Credit Information Bureau (India) Limited and any other agency authorized in this behalf by Reserve Bank of India.
 - d) The Credit Information Bureau (India) Limited, and any other agency so authorized may furnish for consideration, the processed information and data or products hereof prepared by them, to banks/financial institutions and other credit grantors or registered users, as may be specified by the Reserve Bank of India in this behalf.
- The Firm/unit should certify that they are not on the Caution List of RBI and. It should undertake to inform the Bank immediately in case its name is included in the aforesaid lists.
- All other extant guidelines of the Bank/Reserve Bank of India in respect of the credit facilities should be meticulously followed.
- If the pricing of loan is based on the Provisional financial statements, the Bank reserves the right to reprice the credit exposure permitted on receipt of audited financial statements. Besides, as and when rating assigned by External Credit Assessment Institutions (ECAIs)/internal rating is downgraded, Bank reserves the right to review and reprice the credit exposure.
- Penal interest of 2% on the outstanding liability shall be collected if the Audited financial statement is not submitted before 31st Oct of every year or within a fortnight from the date of Audit of financial accounts of the Firm whichever is earlier.
- The validity of the rate of interest permitted shall only be up to the next renewal date.
- All the cost related with documentation, LSR, valuation, Stock Audit, Credit Audit, out of pocket expenses in normal course of business are to be borne by Borrower.
- Please return one copy duly accepted as token of acceptance of all terms and conditions of the sanction along with the resolution of the company indicating acceptance of the terms and conditions of the subject sanction and authority to execute required loan papers.

Thanking you and assuring you of our best attention always.

Yours faithfully,

कृते केनरा बैंक
FOR CANARA BANK

Branch Manager / SR. BR. MANAGER
अडाजन सुरत-II. ADALAN SURAT-II.

ANNEXURE (A)
GENERAL CONDITION
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1. Service charges shall be collected as per our H O guidelines.
2. The rate of interest stipulated there is subject to revision/ variation by the bank from time to time as may be communicated to you.
3. You shall be free from statutory liabilities.
4. You shall not divert the the funds other than for the purpose for which limits are sanctioned. If diversion is observed the funds will have to be replenished immediately lest penal interest shall be collected till the funds are brought back in the business.
5. The above limits permitted if not availed within Three months shall stand cancelled unless specific permission is obtained for extension of the validity of this sanction from sanctioning authority.
6. You should pass on proportionate ancillary/export business tous.
7. Valuation of securities by outside valuer as and when required byus.

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